

DIGITAL WALLET

Natural Resources and Public Policy



What

อะไร

Why

ทำไม

How

อย่างไร

What

**What is Digital Wallet scheme
and its purpose?**

Why

Why did they implement this scheme?

How

**How effectively did scheme impact
Thailand's economy?**

Digital Wallet Scheme for Boosting Economic Recovery

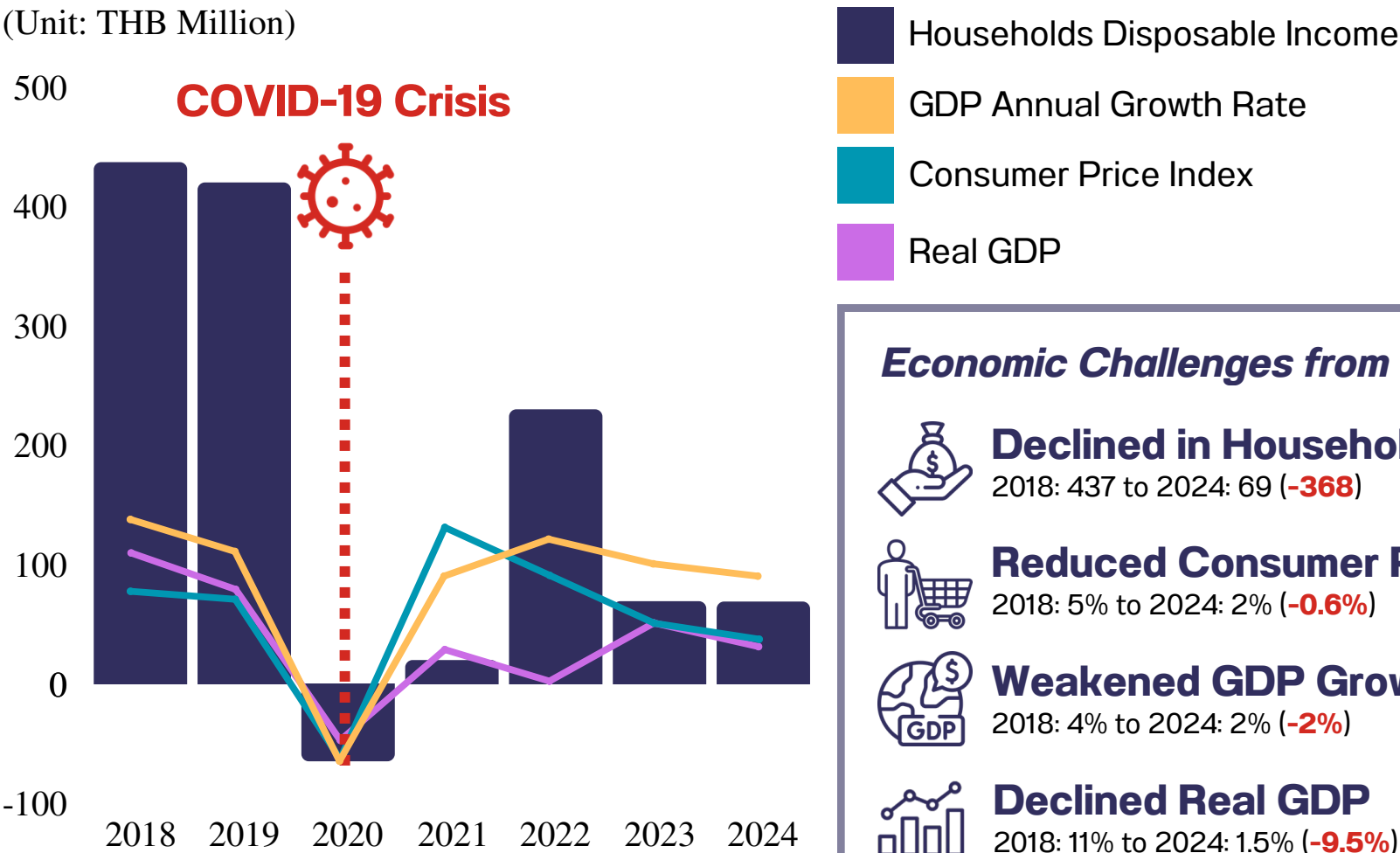


The COVID-19 pandemic caused a demand shock, reducing income and spending. The government introduced the Digital Wallet Scheme to restore consumption and GDP growth.

Macroeconomic Performance – Market Failure & Recession Risk

Macroeconomic Indicators (2018-2024)

YoY % change
(Unit: THB Million)



Reference: Trading Economics & CEIC

What

Economic Challenges from COVID-19 Pandemic:

-  **Declined in Household Income**
2018: 437 to 2024: 69 (-368)
-  **Reduced Consumer Price Index**
2018: 5% to 2024: 2% (-0.6%)
-  **Weakened GDP Growth**
2018: 4% to 2024: 2% (-2%)
-  **Declined Real GDP**
2018: 11% to 2024: 1.5% (-9.5%)

Why

Introduction of Digital Wallet



Main policies of the *PAD Party* during the 2023 election campaign.

10,000 Baht

Amount of money allowed for Thai citizens to register through *Thang Raj* application.

Policy Restrictions

Main Encouraging Spending on Daily Essentials

- ✓ Food & Beverages
- ✓ Medical expenses
- ✓ Household necessities
- ✓ Agricultural supplies
- ✓ Small and Local businesses

Policy Purpose

Goals of Digital Wallet Scheme

- Stimulating Consumption & GDP Growth
- Supporting Local Businesses & SMEs
- Encouraging Digital Financial Inclusion



Reasons of Government Intervention

The COVID-19 pandemic in 2020 caused market failures and imperfect competition, reducing CPI and demand. In 2024, the government's digital wallet scheme was introduced to boost spending and stabilized markets.

How

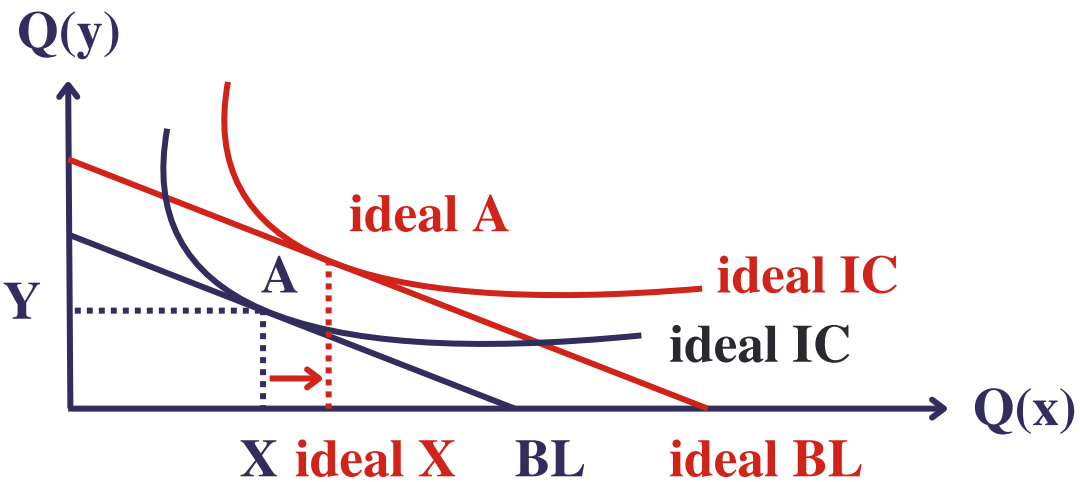
Rationale Analysis Behind the Digital Wallet Scheme

The Digital Wallet Scheme aims to boost economic growth by increasing consumer spending, but its real impact may deviate from theoretical expectations due to behavioral responses, market inefficiencies, or long-term economic implications.

Economic Theories Supporting the Scheme

Consumer Choice Theory

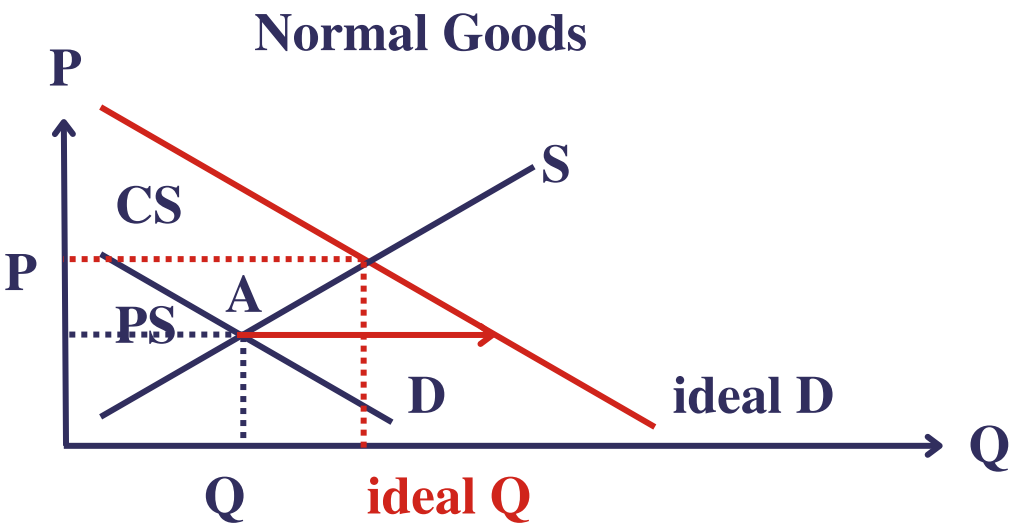
Budget constraint shifts outward, allowing consumers to reach a higher indifference curve, increasing overall welfare.



Increase Consumer Spending

Welfare Economics

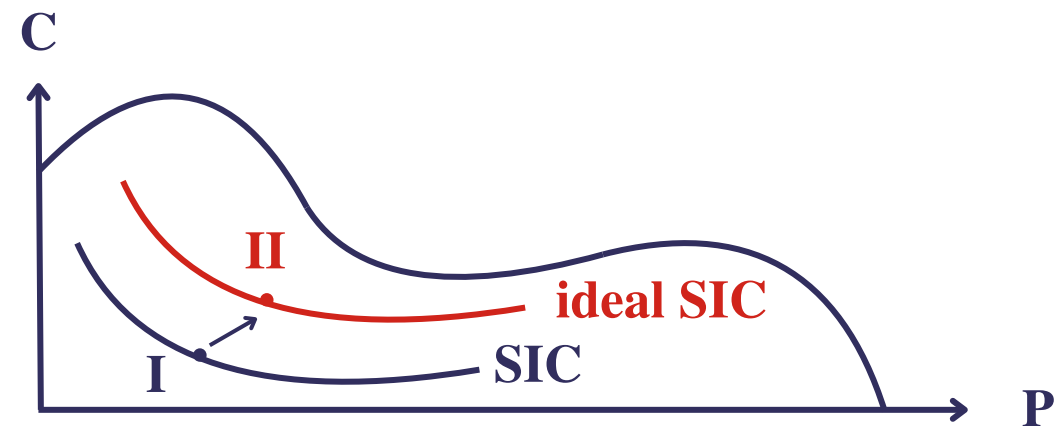
Higher consumer surplus and producer surplus due to increased spending.



Increase Both Social Welfare

Maximizing Social Welfare Economics

Higher spending enhances overall utility, aligning with welfare optimization principles



Boost utility

Digital Wallet's purpose

What

Why

How



**Digital Wallet does satisfies both consumer
and producer, **but at what cost?****

Outcome of government intervention



Government

Fiscal burden



Consumer

**Short-term Higher Disposable
Income & Spending Confidence**



Producer

**Short-term economic boost
Wealth Consolidation to Magnates**

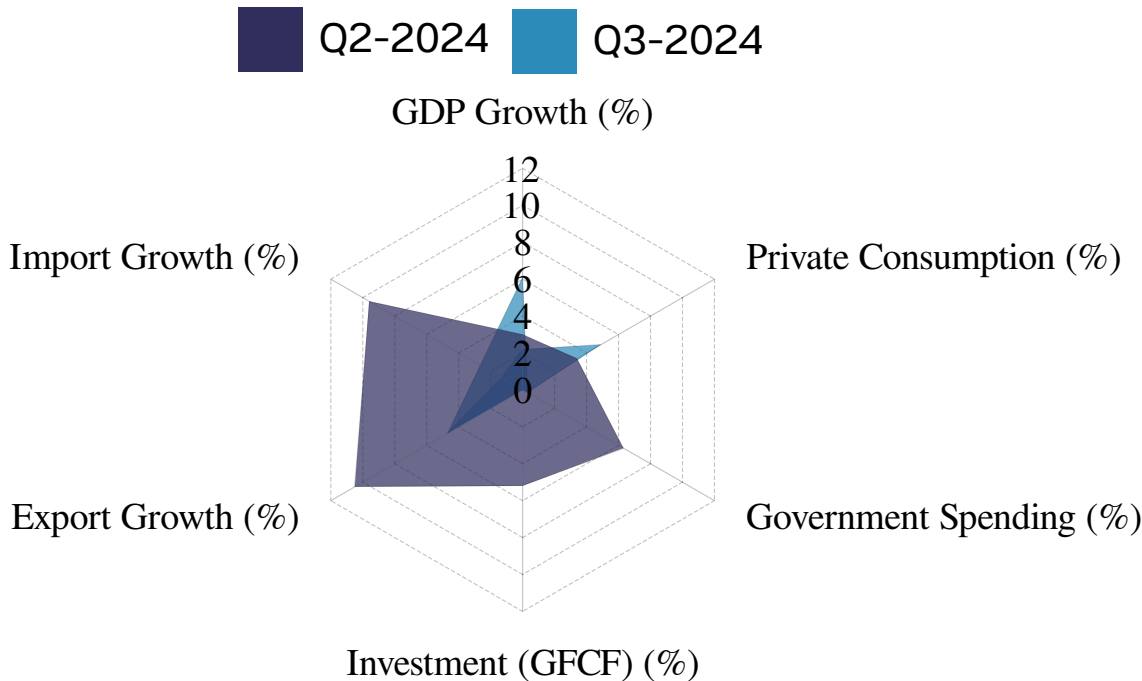
Escalating Public Debt from Digital Wallet Initiative

The scheme’s high fiscal cost increased public debt, leading to the proposal of tax reform the burden to taxpayers.

Short-term Impact

Macroeconomic Performance Q2 & Q3 - 2024

Digital Wallet Phase 1 was first distributed on 25th of September, 2024 or during the 3rd quarter in 2024.



Reference: Office of the National Economic and Social Development Council

Insights from chart

- ✓ GDP Growth (+0.8%)
- ✓ Exports (+5.8%)
- ✓ Government Spending (+6.0%) **
- ✗ Imports (+8.3%)
- ✗ Private Consumption (-1.5%)
- ✗ Investment (GFCF) (+11.3%)

Long-term Concerns

Long-term Fiscal Burden of the Digital Wallet Initiative

Key Warning Signals

64%
Rising Public
Debt-to-GDP Ratio in 2024

-3.6%
Fiscal Deficit in 2024
(Budget Deficit as % of GDP)

-13.42%
USD/THB Depreciation
from 2022 to 2025

-20.96%
SET 50 Index Performance
from 2022 to 2025

VAT 15%
Offical Proposal of Tax Reform

Reference: Trading Economics and Krungsri Research, “Monthly Economic Bulletin”



Keynesian stimulus provided a short-term demand boost but failed to sustain growth. High household debt and weak investment limited long-term impact. The scheme’s excessive fiscal cost led to rising public debt. Misallocation of funds weakened economic stability and equity.

What

Why

How

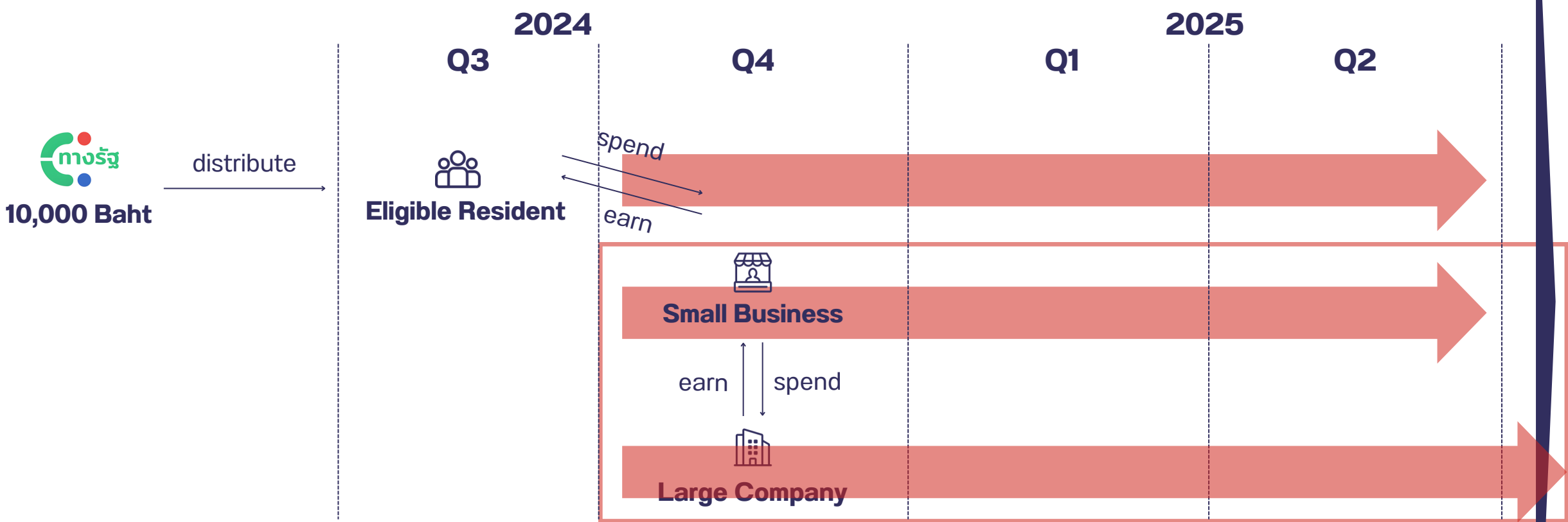
Dominance of Large Corporations in Thailand's Supply Chains



The Digital Wallet scheme forced small firms to depend on dominant corporations like 7-Eleven and CP Group. This redirection of government intervention exacerbated wealth inequality by funneling social investments meant for low-income populations into existing corporate supply chains.

Short-term Impact

Digital Wallet Phase 1 Implementation Plan



Digital Wallet's Scheme Restriction:

✓ Eligible Resident

- Held State Welfare or
- Disabled Resident

✓ Small Business (Round 1)

- Located within the resident's district
- List on allowed categories

✓ Large Company (Round 2)

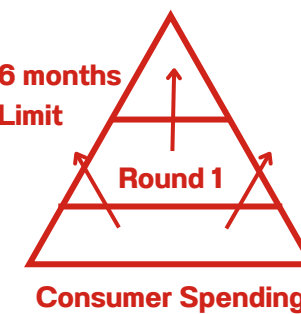
Stored in tax systems: VAT, Corp. Income and Personal Income tax

Long-term Concerns

Unfair Structured Flow Program

Unfair Trickle-Up Flow

Round 2 Companies



✓ **Advantage:** Round 2 companies

- No strict time limit

✗ **Disadvantage:** Round 1 firms

- Pressured to reinvest or pay round 2 companies within 6 months

Capitalist Ties

Example of wealthiest magnate's group of companies in TH



Dhanin Chearavanon

makro



“ These giant companies already dominate key supply chains ”

What

Why

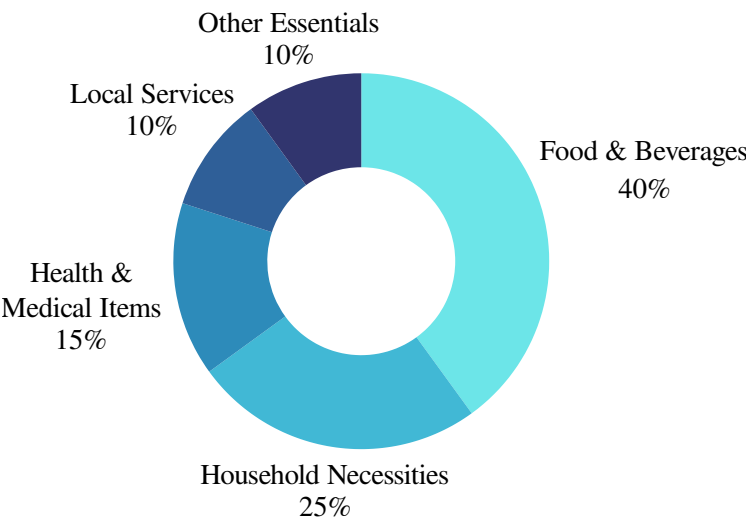
How

Short-Term Gains vs. Long-Term Trade-Offs

Short-term relief for eligible individuals came at the cost of reduced healthcare, education, and rising economic inequality

Short-term Impact

Breakdown of Phase 1 Spending



Reference: Thai PBS

Successful of Implementation

99.19%
Eligible Resident Registered

75%
Are Household Spending

144,501.68 MM THB
Circulating into the economic system

List of problems encountered

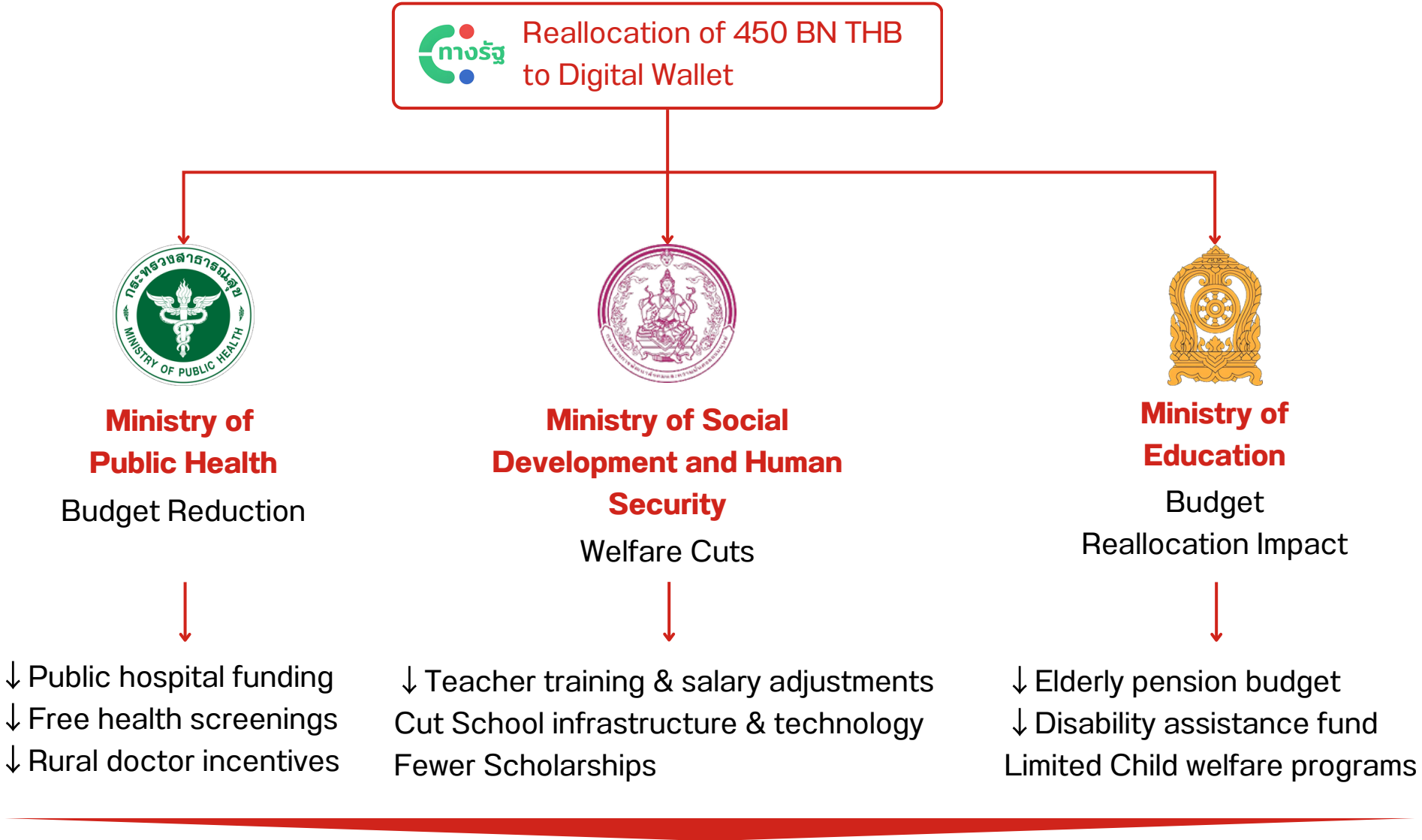
- ✗ Unlinked to PromptPay
- ✗ No movement in the bank account
- ✗ Bank account is closed
- ✗ Do not have a bank account
- ✗ Bank account number is incorrect

Several Barriers & Challenges were identified:

- Technical Issues**
 - Delays in fund disbursement
 - Transaction failures
- Geographical Limitations**
 - Limited choice of local vendors
 - Urban residents struggled due to few participating stores
- Financial Literacy Barriers**
 - Lacked experience using digital payments

What

Long-term Concerns



Why

How

Reduced social investment may weaken workforce productivity and increase economic inequality over time.

In conclusion that ...

Player	Benefit & Impact
Government	Fiscal burden
Eligible Resident Phase 1	Short-term Higher Disposable Income & Spending Confidence
Corporations	Benefit from structured trickle-up effect
Small & Local Producers	Temporary boost & Unsustainable
Middle & High-Income	Bear Tax Burden & Reduced Social Services.

**Thank you
for your attention**